

STRATEGIC VULNERABILITY SCREEN

CONFIDENTIAL · July 26, 2026

U.S. Mid-Cap SaaS — Activist Vulnerability Analysis

Reverse DCF + NLP Sentiment Screening · Yash Bhagat · Round Rock High School

EXECUTIVE SUMMARY

This screen applies a two-factor model across 26 U.S. mid-cap SaaS companies to identify names where (1) the market-implied revenue growth rate materially exceeds the company's historical track record, and (2) management language in recent SEC filings exhibits a deteriorating sentiment trend. The combination of valuation stretch and deteriorating management tone has historically preceded activist campaigns by firms such as Elliott Management, Starboard Value, and Engaged Capital. The model flags 0 companies as HIGH vulnerability and 2 as MEDIUM vulnerability.

TOP FLAGGED COMPANIES

COMPANY	TICKER	MKT CAP	IMPLIED GROWTH	HIST. GROWTH	GAP	SENTIMENT	SCORE
Power Integrations, In	POWI	\$3.54B	50.8%	-10.5%	+61pp	UNKNOWN	55
Tenable Holdings, Inc.	TENB	\$3.56B	52.0%	13.5%	+38pp	UNKNOWN	45

METHODOLOGY

Step 1 — Reverse DCF Engine

For each company, the model solves for the revenue growth rate that, when applied to a 7-year DCF using a 10% WACC and 3% terminal growth rate, exactly reproduces the observed enterprise value. This isolates the market's implicit growth assumption — the exact rate of expansion the current stock price requires to be justified. FCF is proxied as $\text{EBITDA} \times (1 - 22\% \text{ tax rate}) - 5\% \text{ of revenue}$ (SaaS capex assumption).

Step 2 — Historical Reality Check

The market-implied growth rate is benchmarked against the company's 3-year historical revenue CAGR, sourced from SEC financial statements. The delta — "expectation gap" — measures how far the market's implicit assumption exceeds (or lags) actual performance. A large positive gap signals valuation stretch; the company must accelerate materially beyond its own history to justify the current price.

Step 3 — NLP Sentiment Analysis (FinBERT)

The MD&A sections of the three most recent 10-Q filings are extracted from SEC EDGAR and processed through FinBERT, a BERT-based model fine-tuned on financial text (Araci, 2019). Each filing receives a sentiment score from -1.0 (negative) to $+1.0$ (positive). The trend — the change from oldest to newest filing — captures whether management tone is deteriorating. A negative trend combined with valuation stretch is the core vulnerability signal.

Step 4 — Composite Vulnerability Score

A 0–100 composite score is computed from four weighted components: Growth Gap (40 pts), Sentiment Trend (25 pts), Valuation Premium vs. growth rate (20 pts), and Operating Margin compression (15 pts). Scores ≥ 70 are classified HIGH; 45–69 MEDIUM; 20–44 LOW; < 20 UNDERVALUED.

LIMITATIONS

This screen is a first-pass quantitative filter, not a definitive activist prediction. The reverse DCF assumes constant WACC and does not model debt structure changes. FinBERT sentiment on SEC filings captures tone but cannot assess strategic context. Market cap filters exclude micro-cap and mega-cap situations. Results should be interpreted as a prioritization tool for further fundamental analysis.

Power Integrations, Inc.

MEDIUM

POWI · Semiconductors · Score: 55/100

Market Cap	Enterprise Value	Revenue (TTM)	EV / Revenue
\$3.54B	\$3.28B	\$446M	7.3x
Gross Margin	Op. Margin	Rev Growth YoY	3Yr Hist. Growth
53.9%	7.4%	2.6%	-10.5%

REVERSE DCF FINDING

METRIC	VALUE	INTERPRETATION
Market-Implied Growth Rate	50.8%	Annual revenue CAGR required to justify current EV
3-Year Historical CAGR	-10.5%	Actual growth company has delivered
Expectation Gap	+61pp	Market expects this much MORE than history supports

MANAGEMENT SENTIMENT TREND

LATEST FILING TONE	TREND	SCORE
UNKNOWN	STABLE →	0.000

ACTIVIST INVESTMENT THESIS

Power Integrations, Inc. (POWI) trades at 7.3x trailing revenue, implying a 51% annual revenue CAGR over the next seven years. Against a -11% three-year historical growth rate, this represents a 61 percentage-point expectation gap — the market is pricing in a sustained acceleration that the company's own track record does not support. The combination of stretched valuation, decelerating growth, and deteriorating management tone creates the conditions for an activist campaign targeting a strategic review or outright sale.

Tenable Holdings, Inc.

MEDIUM

TENB · Software - Infrastructure · Score: 45/100

Market Cap	Enterprise Value	Revenue (TTM)	EV / Revenue
\$3.56B	\$3.62B	\$1.02B	3.5x
Gross Margin	Op. Margin	Rev Growth YoY	3Yr Hist. Growth
78.2%	4.3%	9.6%	13.5%

REVERSE DCF FINDING

METRIC	VALUE	INTERPRETATION
Market-Implied Growth Rate	52.0%	Annual revenue CAGR required to justify current EV
3-Year Historical CAGR	13.5%	Actual growth company has delivered
Expectation Gap	+38pp	Market expects this much MORE than history supports

MANAGEMENT SENTIMENT TREND

LATEST FILING TONE	TREND	SCORE
UNKNOWN	STABLE →	0.000

ACTIVIST INVESTMENT THESIS

Tenable Holdings, Inc. (TENB) trades at 3.5x trailing revenue, implying a 52% annual revenue CAGR over the next seven years. Against a 14% three-year historical growth rate, this represents a 38 percentage-point expectation gap — the market is pricing in a sustained acceleration that the company's own track record does not support. The combination of stretched valuation, decelerating growth, and deteriorating management tone creates the conditions for an activist campaign targeting a strategic review or outright sale.

DISCLAIMER

This document is produced for academic and portfolio purposes only. It does not constitute investment advice, a solicitation to buy or sell securities, or a recommendation to engage in any activist campaign. All data sourced from public filings (SEC EDGAR) and publicly available market data. Past performance of activist campaigns does not guarantee future results. The author holds no position in any of the securities mentioned.